Introduction to Capital Gains/Losses
Solutions to Hand Out Questions

I. Taxable Capital Gains/Allowable Capital Losses

a.	Proceeds of Disposition	$12,000
	Original Cost	6,000
	Capital Gain	$6,000
	Taxable Capital Gain	$3,000

b.	Proceeds of Disposition	$24,000
	Original Cost	6,000
	Capital Gain	$18,000
	Taxable Capital Gain	$9,000

c.	Proceeds of Disposition	$4,500
	Original Cost	6,000
	Capital Loss	($1,500)
	Allowable Capital Loss	($750)

II. Taxable Capital Gains/Allowable Capital Losses

Land	Proceeds of Disposition	$25,000
	Original Cost	15,000
	Capital Gain	$10,000
	Taxable Capital Gain	$5,000

A. Shares	Proceeds of Disposition	$30,000
	Original Cost	12,000
	Capital Gain	$18,000
	Taxable Capital Gain	$9,000

A. Shares are sold for $30,000

Taxable Capital Gains totalling $14,000 will be included in income ($5,000 + $9,000)

B. Shares	Proceeds of Disposition	$1,000
	Original Cost	12,000
	Capital Loss	($11,000)
	Allowable Capital Loss	($5,500)

B. Shares are sold for $1,000

There will be no income included in the current year as a result of the sale of land and shares.
There will be a net capital loss of $500 available to be carrried to another year

	Taxable Capital Gains	$5,000
less:	Allowable Capital Losses	($5,500)
	Included in inocme	NIL (amount must be $0 or positive)

Excess Allowable Capital Loss is $500 which becomes a net capital loss.